

BALANCING REGULATION AND A FREE MARKET



Speculators may move to other risky options like gaming, cryptocurrency, and other forms of trading equities, such as dabba trading



A restrictive approach with higher lot sizes would deny genuine retail investors access to hedging tools



Liquidity could suffer, leading to higher impact costs for investors when buying index or stocks under F&O



The government could also lose more than ₹60,000 crore in tax revenues



In a free market, such restrictions could discourage foreign investors and other capital from entering the markets

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ner & CIO-Hedge Fund Strategies at InCred Capital, 80-90% of the activity in index options (in terms of value) is driven by large, sophisticated players. “While the retail segment appears substantial in terms of numbers, its contribution is likely in the 10-20% range,” he says.

Second, a large portion of retail activity under index options involves buying options, with the risk limited to the option premium. Since the option seller carries the risk, there is a systematic way of covering SPAN (Standard Portfolio Analysis of Risk) margins and other exposure margins. “Normally, SPAN margins are calculated on three sigma, but in the Indian market, it is calculated on six sigma. So, it covers a much higher possibility of risk,” says Shiv Kumar Goel, Director at Bonanza Group. Six sigma accounts for extreme market volatility and requires traders to keep more capital in reserve to cover potential high margins and trading losses.

The bigger issue is of options sellers engaged in selling naked options. “This selling activity is a genuine concern, but it constitutes only about 10-20% of retail activity. The remaining 80-90% of retail activity involves buying options, where risk is limited to the premium paid,” says Kohli.

Market experts also raise questions about Sebi’s

study that found that 9 out of every 10 trades result in losses for investors. “It’s very difficult to dissect which participant enters the options market with what objective—hedging, speculation etc.,” says Sanghavi of ASK.

“Whether I am a retail investor or a big investor, Sebi cannot take away my right to hedge my portfolio,” says Bhamre. Experts suggest that hedging constitutes a negligible portion of the total trading activity. Most of the trading volume comes from Nifty and Bank Nifty options contracts. Investors who hedge in these indices should have a portfolio representing Nifty or Bank Nifty, which would typically be worth at least ₹40-50 lakh, they say.

Then there is the issue of notional turnover. “The exchange reports the notional value,” says Modi. For instance, if a trader buys a lot of 25 shares of a ₹25,000 call option at a premium of ₹1.25 for a weekly expiry today, this will be treated as having a notional value of ₹6.25 lakh (25 x ₹25,000), while the actual cost is only ₹31.25 (25 x ₹1.25), explains Modi (*see box ‘F&O Leaves Cash Behind’*).

Third, algo trading is also driving significant trading volumes as a single algo could execute trades equivalent to those of 100,000 investors. A Sebi consultation paper observes that larger non-individual players that are high frequency algo-based proprietary traders or foreign in-